

Oxford Cambridge and RSA

PREDICTED PAPER

A Level Economics

H460/03 Themes in economics

Difficulty Level: Hard

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

Section A

Write your answer to each question in the box provided.

1 In a mixed economy with a public sector, which of the following factor payments is classified as a transfer payment rather than a reward to a factor of production?

- A A firm's dividend payment to shareholders
- B A state pension paid by the government to a retired person
- C A wage paid to a civil servant
- D Rent paid by a tenant to a private landlord

Your answer [1]

2 An economy has a marginal propensity to consume (mpc) of 0.6, a marginal propensity to tax (mpt) of 0.2, and a marginal propensity to import (mpm) of 0.2. The government increases spending by £200bn. What is the final change in national income?

- A £250 billion
- B £333 billion
- C £500 billion
- D £1,000 billion

Your answer [1]

3 Which of the following would NOT be classified as part of the narrow money supply (M_0)?

- A Central bank reserves held by commercial banks
- B Cash in ATMs
- C Long-term fixed savings accounts
- D Notes and coins in circulation

Your answer [1]

4 A central bank unexpectedly raises interest rates. Through the monetary transmission mechanism, which of the following effects on the current account is most likely?

- A A depreciation of the currency improves the current account
- B A fall in consumer spending on imports improves the current account
- C An appreciation of the currency worsens the current account
- D Hot money outflows worsen the current account

Your answer [1]

5 Good X and good Y are substitutes. The price of good X rises by 8%, causing the demand for good Y to rise, and total spending on good Y to rise by 6%. The price of good Y is unchanged. What can be concluded about the cross elasticity of demand (XED) between X and Y?

- A XED is negative and inelastic
- B XED is positive and approximately 0.75
- C XED is positive and greater than 1
- D XED is unit elastic

Your answer [1]

6 A profit-maximising oligopoly firm faces the cost and revenue conditions shown. Marginal cost is £10 at all levels of output. Demand above output Q^* is described by $P = 40 - 0.5Q$. What is the profit-maximising output and price?

- A $Q = 20, P = £30$
- B $Q = 30, P = £25$
- C $Q = 40, P = £20$
- D $Q = 60, P = £10$

Your answer ☐ [1]

7 A natural monopoly operates in a market where the Minimum Efficient Scale (MES) equals the size of the entire market. A regulator forces the firm to produce at the allocatively efficient quantity. What is the likely outcome?

- A The firm makes normal profit
- B The firm makes supernormal profit
- C The firm makes an economic loss
- D The firm produces where $MC = MR$

Your answer ☐ [1]

8 In a contestable market, the threat of hit-and-run entry forces incumbent firms to behave as if they are in perfect competition, even if only a few firms are currently in the market. This outcome requires:

- A High sunk costs to deter entry
- B No barriers to entry and zero sunk costs
- C Price discrimination by incumbent firms
- D Product differentiation between firms

Your answer ☐ [1]

9 A consumer has a limited budget and consumes two goods, A and B. At her current consumption, the marginal utility per £1 spent on good A is 12, and the marginal utility per £1 spent on good B is 8. According to the equi-marginal principle, what should she do?

- A Consume equal quantities of A and B
- B Consume only good A
- C Consume more of A and less of B
- D Consume more of B and less of A

Your answer ☐ [1]

10 A UK car manufacturer exports a vehicle to the Eurozone with a UK production cost of £20,000, a UK retail price of £25,000, and a Eurozone retail price of €30,000. The exchange rate moves from £1 = €1.20 to £1 = €1.10. Assuming the firm maintains its Eurozone price, what is the impact on its profit margin per car (in £ terms)?

- A Increases by approximately £2,273
- B Decreases by approximately £2,273
- C Increases by approximately £500
- D No change in profit margin

Your answer ☐ [1]

11 A monopolist is considering engaging in first-degree price discrimination rather than charging a single profit-maximising price. Compared to single-price monopoly, first-degree price discrimination will:

- A Increase consumer surplus and decrease producer surplus
- B Increase both consumer surplus and producer surplus

- C Result in the allocatively efficient level of output with zero consumer surplus
- D Result in the productively efficient level of output

Your answer ☐ [1]

12 A firm produces output using only labour. Total output when employing 10 workers is 200 units; when employing 11 workers, total output is 215 units. The firm sells each unit for £6, and the going wage rate is £80 per worker. Should the firm hire the 11th worker?

- A No — $MRP < \text{wage}$
- B Yes — $MRP = \text{wage}$
- C Yes — $MRP > \text{wage}$
- D Cannot be determined without knowing AC of production

Your answer ☐ [1]

13 A monopsony firm faces an upward-sloping supply curve for labour. Compared to a perfectly competitive labour market, a monopsonist will:

- A Employ fewer workers at a higher wage
- B Employ fewer workers at a lower wage
- C Employ more workers at a higher wage
- D Employ the same number of workers at a lower wage

Your answer ☐ [1]

14 The quantity theory of money ($MV = PY$) assumes V and Y are constant in the long run. If a central bank increases M by 10% over a year, Monetarists would predict that, in the long run:

- A Real GDP rises by 10% and inflation is zero
- B Real GDP is unaffected and inflation is approximately 10%
- C Real GDP rises by 5% and inflation is approximately 5%
- D Unemployment falls but inflation rises

Your answer ☐ [1]

15 A country has a persistent current account deficit and a floating exchange rate. Which of the following is most consistent with the Marshall-Lerner condition being satisfied?

- A A depreciation improves the current account because $PED_X + PED_M > 1$
- B A depreciation improves the current account because $PED_X \times PED_M > 1$
- C A depreciation worsens the current account because $PED_X + PED_M < 1$
- D The current account is unaffected by exchange rate changes in the long run

Your answer ☐ [1]

16 A country changes its tax system so that VAT is raised from 15% to 20%, while income tax rates are lowered. Ceteris paribus, what is the most likely overall effect on the tax system and income distribution?

- A More progressive; reduced inequality
- B More proportional; unchanged inequality
- C More regressive; increased inequality
- D No change in progressivity

Your answer ☐ [1]

17 A Gini coefficient falls from 0.45 to 0.38 while GDP per capita rises by 6%. Which of the following is NOT a valid conclusion?

- A Average incomes have risen
- B Income inequality has decreased
- C The incomes of the poorest must have risen in absolute terms
- D The Lorenz curve has shifted closer to the line of equality

Your answer ☐ [1]

18 A government imposes a specific (per-unit) tax on a good with price elastic demand. Compared to a good with price inelastic demand (with the same tax applied), this will result in:

- A A larger fall in quantity and larger tax revenue
- B A larger fall in quantity and smaller tax revenue
- C A smaller fall in quantity and larger deadweight loss
- D A smaller fall in quantity and smaller tax revenue

Your answer ☐ [1]

19 Using the circular flow of income, if withdrawals exceed injections, which of the following will occur in the short run?

- A AD increases and national income rises
- B AD decreases and national income falls
- C Prices rise and real GDP rises
- D The multiplier effect becomes larger

Your answer ☐ [1]

20 A firm provides a private health insurance product. Customers who expect to claim more often are more likely to buy the product, but the firm cannot fully identify them. This is an example of:

- A Adverse selection
- B Free-rider problem
- C Moral hazard
- D Tragedy of the commons

Your answer ☐ [1]

21 A perfectly competitive firm is in long-run equilibrium. The market demand for the good then increases permanently. What will happen in the short run, and then in the long run?

- A Short run: supernormal profit; long run: normal profit, more firms
- B Short run: supernormal profit; long run: supernormal profit maintained
- C Short run: normal profit; long run: supernormal profit
- D Short run: normal profit; long run: economic loss

Your answer ☐ [1]

22 A monopolist practising third-degree price discrimination charges Market A ($PED = -0.5$) a higher price than Market B ($PED = -2.5$). Using the inverse elasticity rule, the ratio of the price mark-up over marginal cost between the two markets is approximately:

- A 1 : 1
- B 2 : 1 in favour of Market B
- C 5 : 3 in favour of Market A

D 5 : 1 in favour of Market A

Your answer [1]

23 A country joins a customs union. Before joining, it imported from the lowest-cost global producer with a tariff. After joining, tariffs are removed for member states but higher-cost members now supply the market. This outcome illustrates:

- A Trade creation only
- B Trade diversion
- C Tariff escalation
- D Quota circumvention

Your answer [1]

24 The commercial bank lending multiplier (money multiplier) is equal to:

- A $1 / (\text{marginal propensity to save})$
- B $1 / (\text{reserve ratio})$
- C $\text{Money supply} \times \text{velocity of circulation}$
- D $\text{Nominal GDP} / \text{real GDP}$

Your answer [1]

25 The government imposes a maximum price (price ceiling) below the equilibrium in the market for a good where demand is price inelastic and supply is price elastic. The change in total welfare (consumer surplus + producer surplus) is most likely to be:

- A Small deadweight loss because demand is inelastic
- B Large deadweight loss because supply is elastic
- C Welfare gain for consumers exceeds producer surplus loss
- D Zero — welfare is simply transferred from producers to consumers

Your answer [1]

26 Which of the following is the strongest argument against the use of contestability as a regulatory tool?

- A Contestable markets have many firms
- B Even a single incumbent firm will charge competitive prices if the market is truly contestable
- C Free entry and exit may be impossible in industries with significant sunk costs
- D Regulation is unnecessary if firms operate where $AR = MC$

Your answer [1]

27 A country's economy is operating close to its LRAS. The government cuts income taxes sharply. According to Keynesian analysis, the most likely outcome is:

- A A large increase in real GDP and a small increase in the price level
- B A large increase in real GDP and no change in the price level
- C A small increase in real GDP and a large increase in the price level
- D No change in either real GDP or the price level

Your answer [1]

28 Country X has GNI per capita of \$15,000 while Country Y has GNI per capita of \$8,000. However, Country Y has higher life expectancy and better education indicators. What can we conclude?

- A Country X has higher HDI than Country Y
- B Country X has lower HDI than Country Y
- C Country Y may have a higher HDI depending on the relative weights
- D The two countries have equal levels of development

Your answer ☐ [1]

29 A country's Lorenz curve has shifted upwards toward the line of equality. Simultaneously, the country's Kuznets curve suggests it is at an early stage of development. Which combination of policies is MOST consistent with this outcome?

- A Cut income tax; reduce welfare spending
- B Increase indirect taxes; decrease education spending
- C Introduce a progressive tax system; invest in universal primary education
- D Privatised state industries; remove agricultural subsidies

Your answer ☐ [1]

30 Which of the following transactions is recorded as a DEBIT on the UK's current account?

- A A UK resident's tourism spending in Spain
- B Dividends earned by a UK citizen on shares in a US company
- C Export of UK services to Germany
- D Foreign aid received by the UK from an international organisation

Your answer ☐ [1]

Section B

Read the extracts before answering the questions.

Extract 1

Concentration in the UK supermarket sector

The UK grocery retail market is highly concentrated. As of 2024, the four largest supermarkets — Tesco, Sainsbury's, Asda, and Morrisons — held a combined market share of approximately 65%, with Tesco alone holding around 27.5%. Discounters Aldi and Lidl have grown rapidly, reaching a combined share of around 18%, up from just 7% in 2014. The Competition and Markets Authority (CMA) has repeatedly reviewed the sector and has expressed concerns about both tacit collusion between large firms and buyer power over suppliers.

During the cost-of-living crisis of 2022–24, supermarket food price inflation reached 19% in March 2023. Profit margins of the big four fell only modestly during this period, and all four companies continued to pay substantial dividends to shareholders. Campaigners accused the supermarkets of 'greedflation' — passing on cost increases to consumers faster than any cost decreases. The supermarkets responded by pointing to higher energy costs, supplier price rises, and Brexit-related frictions.

The sector exhibits classic features of an oligopoly: price stickiness, non-price competition through loyalty schemes (Tesco Clubcard, Sainsbury's Nectar), significant advertising expenditure, and barriers to entry based on economies of scale in distribution and logistics. The 'kinked demand curve' model has been used to describe pricing behaviour, with firms reluctant to raise prices above rivals for fear of losing market share, but also reluctant to cut prices for fear of triggering a price war.

In 2023, the CMA launched a formal investigation into supermarket pricing practices, focusing on the lack of unit pricing transparency and the use of 'loyalty card' pricing where prices appear cheaper to scheme members. Critics argue that loyalty schemes are a form of price discrimination that harms consumers who do not or cannot sign up. Supporters argue that loyalty schemes reward customer retention and allow firms to offer targeted discounts.

Some economists argue that the supermarket sector is best understood as a contestable market rather than a tight oligopoly, pointing to the rapid growth of Aldi, Lidl, and online competitors such as Ocado. Others argue that the sunk costs of establishing a national distribution network remain prohibitive.

Fig. 1.1: UK Grocery Market Share (%), 2014 vs 2024

Tesco: 28.7 → 27.5 Sainsbury's: 16.6 → 15.1 Asda: 17.1 → 13.8 Morrisons: 11.0 → 8.7
Aldi: 4.8 → 10.2 Lidl: 3.7 → 7.8 Waitrose: 5.0 → 4.6 Other: 13.1 → 12.3

Fig. 1.2: UK CPI Food Inflation (%), 2021–2024

Jan 2021: 0.6 Jan 2022: 4.5 Mar 2023: 19.1 Dec 2023: 8.0 Jun 2024: 1.5

31 Using the data in Fig. 1.1, calculate the four-firm concentration ratio (CR4) for the UK grocery market in 2024 and compare it to 2014.

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32 Explain, using examples from Extract 1, two characteristics of an oligopolistic market.

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33* Evaluate, using an appropriate diagram and the information in Extract 1, the view that the UK supermarket sector requires further regulation to protect consumer welfare. **[15]**

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Extract 2

Post-Brexit trade and the UK's external balance

Since the UK left the European Union's single market and customs union in January 2021, UK trade patterns have shifted significantly. The Office for Budget Responsibility (OBR) estimates that Brexit has reduced UK trade intensity with the EU by around 15%, and reduced UK GDP by approximately 4% in the long run compared to remaining in the EU.

The UK's current account deficit widened from -2.7% of GDP in 2019 to -5.3% of GDP in 2022, its widest since records began. Several factors have contributed: reduced exports of services (particularly financial services) to the EU; the rising cost of energy imports following the war in Ukraine; and a fall in net foreign investment income as some City financial activities relocated to EU centres such as Dublin, Frankfurt, and Amsterdam.

The pound sterling depreciated by approximately 18% against a trade-weighted basket of currencies between the Brexit referendum (2016) and the end of 2022, but UK exports did not rise by as much as a textbook analysis might predict. The Marshall-Lerner condition may not be fully satisfied for UK trade. The short-run J-curve effect has also been observed: the current account worsened immediately after the depreciation before slowly beginning to recover.

The UK has signed a growing number of bilateral trade deals — with Japan, Australia, and the CPTPP bloc — but the OBR estimates the combined impact of these deals will offset only a small fraction of the loss from reduced EU trade. Critics argue that 'Global Britain' cannot replace the deep integration offered by EU membership. Supporters argue that over the long term, trade diversion will reduce and new markets will grow.

Fig. 2.1: UK Current Account Balance (% of GDP), 2019–2023

2019: -2.7 2020: -3.1 2021: -2.1 2022: -5.3 2023: -3.4

Fig. 2.2: Sterling Effective Exchange Rate Index (Jan 2016 = 100)

Jan 2016: 100 Jan 2017: 87 Jan 2019: 90 Jan 2021: 89 Jan 2023: 82 Jan 2024: 84

Fig. 2.3: UK Goods and Services Trade with the EU (£bn), 2018–2023

Exports 2018: 289 Exports 2023: 311

Imports 2018: 345 Imports 2023: 358

34 Using the data in Fig. 2.3, calculate the change in the UK's trade in goods and services balance with the EU between 2018 and 2023.

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35 Using Fig. 2.2, identify evidence that does not support the view that a depreciation of sterling has permanently improved the UK's trade position.

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36* Evaluate, using the information in Extract 2, whether a depreciation of the pound would be an effective policy to reduce the UK's current account deficit. **[15]**

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Extract 3

NHS consultant and junior doctor pay disputes

Between 2022 and 2024 the NHS in England experienced its most sustained period of industrial action in its history, with junior doctors (now called 'resident doctors') conducting multiple strikes of up to six days' duration. Junior doctors argued that their real pay had fallen by around 26% since 2008 once adjusted for RPI inflation. The British Medical Association (BMA), their trade union, called for 'full pay restoration'. The government — the sole employer of NHS doctors in England — initially offered a 6% rise, well below inflation.

Becoming a doctor in the UK requires a 5 or 6 year undergraduate degree, followed by 2 years of foundation training and 3 to 8 years of specialty training depending on the specialty. NHS doctors cannot easily switch to other employers within England. However, doctors can relocate to Australia, Canada, New Zealand, and the Gulf states, where starting salaries for junior doctors are typically 2 to 3 times UK NHS levels. The BMA reported that applications for Certificates of Good Standing (required for working abroad) rose by 40% between 2021 and 2023.

The government's position was that meeting the BMA's 35% pay demand would cost around £2bn per year and set an inflationary precedent for other public sector workers. The BMA's position was that the pay gap had been driven by government choice, not economic necessity, and that the alternative — loss of doctors to other countries — would be more expensive in terms of training costs and reduced NHS capacity.

A negotiated settlement was reached in summer 2024, giving resident doctors an average 22% pay rise spread over two years. Analysts noted that the settlement did not fully restore real pay to 2008 levels but was far above the government's initial offer. Some commentators argued that the outcome illustrated the countervailing power of a strong trade union against a monopsony employer.

Fig. 3.1: Change in real basic pay for UK junior doctors, 2008–2023 (2008 = 100)

2008: 100 2012: 91 2016: 83 2020: 79 2023: 74

37 Using Fig. 3.1, calculate the total percentage decline in real basic pay for UK junior doctors between 2008 and 2023.

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38 Evaluate, using the information in Extract 3, whether the BMA's demand for 'full pay restoration' for junior doctors is likely to succeed in the long run. **[8]**

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